

Eastroc Beverage Group 9980.HK

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by

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2026 2027

Price:	103.20	EPS	7.4	0
Shares Out. (in M):	734	P/E	14	0
Market Cap (in \$M):	75,769	P/FCF	14	0
Net Debt (in \$M):	-9,432	EBIT	5,660	0
TEV (in \$M):	66,337	TEV/EBIT	11.7	0

Description

Disclaimer - for those who find China an uninvestable space regardless of the valuation and opportunity, please kindly move on

Preamble

Eastroc Beverage represents a rare asymmetric growth story in the functional beverages industry. Historically viewed as a regional Guangdong energy drink vendor catering to blue-collar workers, Eastroc has transformed into a high-ROIC, data-driven national beverage platform. I believe recent concerns (including earnings and topline misses) have presented an interesting opportunity to pick up shares in this fast growing and high quality business at an attractive 12-14x earnings valuation through H shares.

History of the Industry & Red Bull IP Wars

The Chinese energy drink landscape was permanently altered by the legal breakdown between TCP Group (Thailand founder) and Reignwood Group (Red Bull China operator). Reignwood claimed a secret 50-year agreement (until 2045), while TCP won Supreme Court rulings which declared the trademark expired in 2016. Reignwood's classic gold can fights TCP's imported/newly manufactured variants in regional courts, fracturing Red Bull's brand equity. TCP attempted to fight back via 400ml PET plastic bottles (Red Bull Extra at 5-6 RMB), but failed due to price-to-volume disconnects and Reignwood blocking their traditional trade distribution access. Eastroc took the chance to capitalise on Red Bull's civil war, taking over as China's number 1 energy drink, with a no. 1 market share by Liters/Volume (~26%) and establishing a duopoly position by Retail Sales Value (~23-26%).

Why Eastroc's stock seems to have struggled in recent times (both H and A shares)

Despite >30% top-line revenue growth, the stock has experienced a valuation reset due to various factors. 1 of the key reasons has been the poor Chinese consumption landscape. The energy drink segment has continued to display increasing consolidation across the industry, while the electrolyte water segment has entered a phase of intense competition and brutal price wars as low cost private labels have also entered the space.

Separately, the market has also been treating the massive \$300 million Salim Group joint venture and localized factory build-out in Jakarta as a somewhat unproven execution risk that drags down immediate FCF.

Nonetheless, I believe Eastroc's business could continue to thrive on the back of 2 main reasons: i) continued market share expansion against a legally bogged down Red Bull. And ii) pushing of low-cost functional drinks (like Bu Shui La, sugar-free teas, RTD coffee etc) through an existing proprietary network of over 4.3mn retail terminal outlets at very low incremental distribution cost.

Negative Working Capital Dynamics

Eastroc generates exceptional Return on Invested Capital (ROIC) due to a self-funding working capital engine:

i) Negative Cash Conversion Cycle:

- **Downstream (Distributors):** All ~3,200+ exclusive distributors must pay 100% upfront in cash via bank transfer before factory trucks dispatch. This creates a fair amount of Contract Liabilities (unearned revenue) on the balance sheet that they carry as "float".
- **Upstream (Suppliers):** Due to immense bulk purchasing of PET resin and cane sugar, Eastroc demands not only rock bottom prices but also extended payment terms.

ii) Asset-light reinvestment for scaling: A new 500M RMB regional production hub yields 1.5-2.0B RMB in annual sales volume. High asset turnover paired with upfront channel cash means geographic expansion requires very limited reinvestment if any.

Eastroc has a unique degree of supply chain & channel control that competitors find hard to replicate

In general larger scale competitors (e.g. Uni-President, Master Kong, Dali) struggle to replicate Eastroc's operational loop due to structural friction. Legacy giants carry hundreds of SKUs (noodles, biscuits, tea), which to an extent dilutes sales force focus. Eastroc's distributors prioritize capturing high-velocity functional shelf space.

In addition, foreign brands and copycats tend to use expensive aluminum cans or standard bottles. The market was historically defined by Red Bull's 250ml gold cans, while Eastroc upended this by firstly introducing a 500ml PET bottle at a fraction of the price. They handle this by importing raw PET pellets and blowing 500ml bottles on-site, cutting packaging COGS by ~50% vs aluminum.

Terminal Density & The "Cooler Space" War: Beyond sheer terminal reach (4.3mn+ retail outlets), Eastroc's core channel dominance is anchored in high-velocity utility channels: highway rest stops, gas station convenience networks (PetroChina/Sinopec), logistics hubs, and industrial parks. As Eastroc pushes secondary categories (*Bu Shui La, Shangcha*), execution hinges on securing second and third display slots inside mom-and-pop coolers without owning the physical hardware—bypassing the capital-intensive refrigerator leasing models of Master Kong and Nongfu Spring.

Five-Code Integration & Direct Incentive Loop: In the industry, there is a set way of doing things where old-school distributors resist data tracking to protect cross-border grey-market selling. Eastroc uses its bargaining power to engage in what they call **Five-Code Integration**. There are proprietary relational codes linking factory -> Pallet -> Carton -> Retailer -> Consumer, which provides real-time supply chain visibility and kills grey-market dumping. The cap-scan reward system helps Eastroc where instead of spending 20-30% of revenue on traditional celebrity/TV ads, Eastroc embeds marketing directly inside the bottle cap via WeChat cash-back lotteries. Wholesalers scan cartons -> Mom-and-Pop store owner scans inner box code for kickback -> Consumer scans cap code for WeChat cash payout (RMB 0.10-RMB 1.00). With this frankly ingenious system, Eastroc tracks the time delta between store box-scans and consumer cap-scans, identifying inventory sell-through in real-time down to individual roadside kiosks. This allows them to know which are the areas running out of inventory real-time (and hence they can stock up before demand destruction due to lack of stock happens) while also analysing areas that are not doing as well.

General product lines, unit economics & competition

I've collated a general competitive landscape so it might be easier to understand the value prop + competition Eastroc is up against in these areas.

Product Category	Eastroc Brand Name	Primary Target & Value Proposition	Direct Competitor Brand	Competitor Parent Company
Energy Drinks (Core Anchor)	Eastroc Super Drink (东鹏特饮)	High-taurine/caffeine utility; mass-market value (PET bottle vs aluminum can)	Red Bull (红牛)	TCP Group / Reignwood
			Hi-Tiger (乐虎)	Dali Foods Group
			Monster Energy	Monster Beverage / Coca-Cola
Electrolyte / Sports (Second Curve)	Bushuila / Ewater (补水啦)	High-volume electrolyte hydration (555ml & 1L formats)	Alienwork (外星人)	Genki Forest (元气森林)
			Pocari Sweat (宝矿力水特)	Otsuka Pharmaceutical
Ready-to-Drink Coffee	Eastroc Coffee Master (东鹏大咖)	Low-cost RTD caffeine boosts (Coconut Latte, Classic)	Nescafé (雀巢咖啡)	Nestlé S.A.
			Luckin RTD	Luckin Coffee Inc.
Sugar-Free / RTD Teas	Shangcha (上茶) / Roasted Good Tea	Value-priced unsweetened whole-leaf roasted tea	Oriental Leaf (东方树叶)	Nongfu Spring (农夫山泉)
			Suntory Oolong	Suntory Holdings
Fruit & Milk Teas	Guozhi Tea (果之Tea) / Citrus Lemon Tea	Mass-market fruit juice teas and Hong Kong-style milk tea	Classified Tea (茶π)	Nongfu Spring
			Kangshifu Tea	Tingyi / Master Kong
Packaged Water & Others	Eastroc Water (东鹏水) / Coco Island	High-mountain spring water & coconut milk beverages	Nongfu Spring Water	Nongfu Spring
			Cestbon (怡宝)	China Resources Beverage

Unlike discretionary juices or sodas, functional drinks serve as daily productivity inputs for the millions of gig-economy workers (Meituan/Ele.me drivers, couriers) operating in high heat or long shifts.

Product Tier Economics & Margin Mix:

- **Eastroc Super Drink (Core Anchor):** Generates high Gross Margins (~48-50%) driven by in-house PET bottle blowing scale and raw material volume discounts.

- **Bu Shui La (Electrolyte Water):** Priced aggressively to take share, carrying a ~34–36% GPM profile due to higher initial promotional trade spends against Genki Forest's *Alienwork*.
- **Sugar-Free / RTD Teas (Shangcha):** Operates at lower GPMs (~15–20%) due to raw tea extract costs and mass-tier retail pricing (RMB 3.0–3.5 per bottle vs. Nongfu's *Oriental Leaf* at RMB 5.0).
- As secondary categories scale, group blended GPM will naturally mix down from ~45% toward 38–40%, though absolute gross profit RMB dollars will expand rapidly.

Expansion plans beyond China

Rather than executing a brute-force ad war in Red Bull's home territory, Eastroc entered a \$300M Joint Venture with Indonesia's Salim Group. This unlocks instant access to Indomaret (>22,000 convenience stores) and Indofood's distribution footprint, bypassing local setup barriers.

Owner's Earnings (OE) Calculation & Valuation

Total Shares Outstanding: 734,199,310 shares (note, this is the actual no. of shares ending 1H 2026, which accounts for the Bonus shares, hence more than the weighted average number of shares figures of 717mn you might see elsewhere).

Share price for H share: HKD 103.20

Market cap based on H share valuation: HKD 75.77bn

Net Cash Position: RMB 13.7bn (time depos) + RMB 3.19bn (cash) – RMB 2.69bn (contract liabilities adjusted for COGS of 53%) – 5.65bn borrowings – RMB 410mn lease liabilities = RMB 8.11bn or about HKD 9.43bn.

Enterprise value sits at around HKD 66.3bn.

Owner's earnings: Net profits RMB 4.69bn + RMB 0.43bn depreciation – RMB 0.45bn maintenance capex = RMB 4.67bn

EV to owner's earnings multiple (yes for purists I know it's not the right corp fin comparison, but still gives me a gauge) : ~12–13x. Sure if you compare against market cap it's about ~14x, the difference is not huge.

At this valuation, I would really argue you are barely paying up for the growth profile of this company. Without the need for a valuation rerating, and at an earnings growth assumption of 15% which sits significantly lower than where they have been growing even in recent times, alongside a 4.25% yield (note: when calculating for FY 2025 final dividend you have to adjust for the bonus shares issuance 130%, I believe Bloomberg has it wrong hence they show a 5+% yield) and a ~1% buyback yield (they purchased 7.122mn shares or about 1% YTD), a 20% return is possible. Even if you assume a 10% earnings growth from here which is a lot less than what it has done, we're looking at around 15%.

Company's capital allocation history

In a very typical Chinese style, Eastroc introduced a plan akin to a Five Year Plan called the "PROFIT DISTRIBUTION AND RETURN PLAN FOR THE NEXT THREE YEARS (YEAR 2026–2028)". Link is here if interested:

<https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0730/2026073001919.pdf>

Clear guidelines were given as to how they deemed profits would be distributed

In 4 of these stated situations, Eastroc would not distribute dividends

- Unprofitable for the year
- Balance of distributable profits at end of year is negative
- Negative OCF of negative cash balance at end of year
- Material capex $\geq$ 20% of NAV and RMB 300mn, OR $\geq$ 10% of total assets

Cash capital return (both dividends and buybacks) wise, profits distributed in cash yearly shall not be <80% of net profit attributable to shareholders, including share repurchases.

However, if profit distribution is done in the form of cash and bonus shares, then this would depend on whether the company is in i) mature stage of development, and ii) material capex requirements. If the company is deemed in mature stage and no material capex, profit distribution will be $\geq$ 80%. If mature with material capex, then the distribution will be $\geq$ 40%. If growth stage + material capex, then $\geq$ 20%.

Although I do believe these whole set of conditions to be somewhat restrictive without giving enough flexibility to management, I think the point of these set of guidelines indicates that the company is very much willing to engage in capital returns and not engage in hoarding of cash, especially given Eastroc's current strong net cash position.

One might ask, why do they repurchase the A shares when the H shares are at a discount? The amount of cash they hold overseas without capital restriction is limited, plus the H shares are only about ~8% of total share capital and repurchasing too many results in flouting HKEx public float rules.

Key risks for the business

1. **Demographic Drag & Gig Economy Velocity:** Shrinking traditional construction/factory blue-collar workforce and slower growth in delivery order volumes directly impact daily volume velocity per terminal.

2. **Gross Margin Dilution:** Shifting product mix toward lower-margin categories (*Bu Shui La* ~34% GPM, Sugar-Free Teas ~15% GPM) will naturally compress group blended GPM from ~45% toward 38–40%.
3. **Raw Material Commodity Spikes & PET Sensitivity:** PET resin (tied to crude oil) and cane sugar inflation hit value-tier brands like Eastroc harder due to fixed RMB 5.0 retail price points and limited short-term end-consumer pricing power.
4. **Regional Concentration & Logistics Friction:** Expanding outside core South China strongholds requires overcoming regional competitors (e.g., Dali's *Hi-Tiger* in Northern China) and managing higher freight costs until local northern production bases reach full capacity.

Nearer term catalysts

- **Capital Deployment of IPO Proceeds:** Deploying listing cash into production capacity expansion, national brand building/marketing, and potential M&A/joint ventures.
- **Indonesia JV Commercialization:** Initial revenue contribution from Salim Group's Indomaret retail rollout (>22,000 stores).
- **Northern & Central Provincial Penetration:** Accelerated top-line growth as regional manufacturing hubs come online to lower local logistics overhead.

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Messages

Subject	Agree, but what about competition?
Entry	09/05/2026 08:26 PM
Member	gocanucks97

Also been poking around the consumer space lately, and agree with your thesis.

One nagging concern I have is Nongfu. Eastroc has made sugarfree tea their next strategic focus, directly taking aim at a market dominated by Nongfu. If they get any traction, could Nongfu make a counter move in the energy drink space? They already have a decent sized brand there, and they certainly match/exceed Eastroc's distribution, and they can definitely afford a price war.

After witnessing countless senseless price wars (BABA/Meituan the latest), I am wary of these situations.

Subject	Re: Agree, but what about competition?
Entry	09/06/2026 05:18 AM
Member	mahagany

hey gocanucks, thanks for the insightful question. Nongfu is definitely a super strong competitor, though i think Dong Fang Shu Ye is priced differently and for a different target (white collar workers), vs Eastroc's Shang Cha which is more for their usual blue collar / delivery driver demographic. As of the moment, Nongfu's distribution as I understand is a bit different from Eastroc, where the former's more focused on tier 1/2 modern trade while Eastroc's more tier 3/4 highway stops, gas stations, mom and opp kiosks and what not. So they're still not entirely head on? nonetheless yea I agree it can be something to watch. I just currently don't think Shang Cha takes the cake from Dong Fang Shu Ye though since they're not fighting in the same area.